



CDD/KYC POLICY AND PROCEDURE

COMPLIANCE AND RISK MANAGEMENT (CRM) DEPARTMENT

(Right Vision Securities (Pvt.) Limited)

*Anti-Money Laundering Act, 2010
SECP (AML-CFT) Regulations, 2018
Futures Brokers (Licensing and Operations) Regulations, 2018*

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TABLE OF CONTENTS

1. TITLE.....	4
2. BACKGROUND	4
3. PREAMBLE.....	4
4. INTRODUCTORY REMARKS	5
5. OVERVIEW OF ML/TF RISKS	5
6. OBJECTIVE, SCOPE AND APPLICABILITY	6
7. STAGES OF KYC APPLICABILITY	7
8. POLICIES PROCEDURES AND CONTROLS	7
9. ELEMENTS OF POLICY	9
9.1 Customer Acceptance Policy.....	9
9.2 Customer Identification Procedures	11
9.3 Due Diligence of Customer:	12
9.4 Enhanced Due Diligence	14
9.5 On-going Monitoring of transactions:.....	14
9.6 Risk Management	16
9.7 Preserve and Maintain All Necessary Record	19
9.8 Sanction Compliance through Useful Links	22
10. SECP's Guidelines	22
11. GENERAL	24
11.1 Training and educational programs;	24
11.2 Internal Control System (Audit Function, Screening of Employees).....	26
11.3 Introduction of New Technologies.....	27
11.4 Closure of Accounts/Business Relationship	27
11.5 CFT.....	27
11.6 Consequences of breach/ default	28
12. REVIEW AND AMENDMENTS IN THE POLICY	28
13. CONCLUSION	29
14. REGULATORY FRAMEWORK	29
14.1 Primary legislation.....	29
14.2 Secondary legislation.....	29

1. TITLE

This Policy shall be called '**CDD/KYC Policy and Procedure**'. It shall come into force as and when approved by the Board of Directors (BODs) of Right Vision Securities (Pvt.) Limited (hereinafter referred as 'RVSPL'/'the Company').

2. BACKGROUND

Securities and Exchange Commission of Pakistan (SECP) has issued comprehensive guidelines on Know Your Customer (KYC) and Continuous Due Diligence (CDD) to its entire regulated financial sector as the international benchmark for framing of AML Standards, CFT Policies in the light of recommendations of Financial Action Task Force (FATF) on Anti Money Laundering (AML) standards and on Combating Financing of Terrorism (CFT).

Accordingly, in compliance with the **Clause 4 & 5 of the SECP AML/CFT Regulations, 2018, Section 3.15 (i) General Obligations of a TRE Certificate Holder / Broker, Clause 3.38 (e) Relations with Customers of CHAPTER III: TRADING RIGHTS ENTITLEMENT (TRE) CERTIFICATE OF THE EXCHANGE of PMEX Rule Book** and prescribed guidelines issued / amended by SECP from time to time, the Right Vision Securities (Pvt.) Limited (RVSPL) is contemplating proper policy framework on KYC/CDD and AML measures duly approved by its BODs. This policy is applicable to all categories of products and services offered by the Company and/or wherever offered in the future.

3. PREAMBLE

In the Financial, Commodity and Capital Market Know Your Customer (KYC) approach and its categorization with respect to risk profile play a key role to protect the business from risks, keep smooth operations, right level of oversight and ensure compliance with the regulatory framework applicable in different jurisdictions. In order to meet the minimum standards for an effective KYC/CDD regulatory adherence of Anti-Money Laundering (AML) and Countering Financing of Terrorism (CFT) Regulations, 2018 and directives issued by the front-line Regulators and the Apex Regulatory Body from time to time, Right Vision Securities (Pvt.) Limited (hereinafter referred as 'the company') intends to formulate and implement robust KYC and CDD policy to mitigate risks associated with money laundering, terrorist financing, and other criminal activities for its protection from financial crimes, maintain regulatory compliance, safeguard its legal and reputational risks and smooth business continuity as well. The key element to prioritize KYC and CDD is to enhance security, ensure compliance and to build a trustworthy, friendly business growing investment environment for both the customers and stakeholders. This purpose can be achieved ensuring secure and transparent financial transactions commensurate the regulatory compliance put in place and international standards like Financial Action Task Force (FATF).

4. INTRODUCTORY REMARKS

Right Vision Securities (Pvt.) Limited (The Company/RVSPL) aims to follow firmly certain directions and notifications issued by the regulatory authorities in the country and the bodies at the international level as well. Prior to establish business relationship with any individual and/or corporate entity, there is need to follow some certain kind of act of performing background checks on the accountholder/customers for which the formulation of CDD/KYC policy works as strong foundations of an effective AML/CFT program envisaging the requirements of national and international entities monitoring and providing guidance in this area of AML/CFT.

The AML Act, 2010 and AML and CFT Regulations, 2018 are enacted to prevent money laundering and to provide for confiscation of profit derived from, or involved in, money laundering channelizing the same through trading activities.

- **Know Your Customer (KYC)** is a process for validating and authenticating customer's identities to prevent theft, money laundering, illegal activities and financial risks. Its primary objective is to meet the risk management process in the financial industry prior to deal with the customers who involve documenting the potential customer's selves which includes collecting of information vis-à-vis name, address, DOB and to gauge risk of their financial backgrounds. This is an on-going activity which is carried out to monitor their pattern of activities, financial resources and variations in their risk profiles. KYC enables to serve customers better and prudently manage the risks of Money Laundering (ML) and to Combat Financing of Terrorism (CFT).
- **Customer Due Diligence (CDD)** being an essential part of KYC is a comprehensive, on-going process carried out to gathering and analysing customer's information to assess their financial risk for continuity of business relationship established with the company for prudent trading activities of the customers. Mainly CDD is performed to examine the past pattern and monitoring of financial transactions, illegal activities, any sanctions imposed by a competent authority, any involvement in immoral events, punishment or criminal records and more for indicators of risk.

Money Laundering is the process by which large amounts of illegally obtained money (from drug trafficking, terrorist activity, corruption or other serious crimes) is given the appearance of having originated from a legitimate source.

It is done through **three stages**;

- **Placement**; induction of illegal money into the financial system
- **Layering**; multiple transactions to confuse the audit trail and distance the original source of funds (e.g., successive transactions, international transfers)
- **Integration**; then integrating funds back into the real economy as clean and respectable money (purchase luxuries, real estate assets/financial investments etc.)

5. OVERVIEW OF ML/TF RISKS

Pakistan faces significant ML and TF risks on multiple fronts vis-à-vis domestically, regionally and internationally. The country completed its first National Risk Assessment (NRA) in 2017 which identified the high risk/threat predicate crimes, corruption, smuggling (all types), drugs trafficking,

cheating and fraud (including tax fraud), kidnapping for ransom, extortion, illegal arms sale, and exploitation of Hawala/Hundi;

- One, high risk (illegal) sector: Hawala/Hundi;
- Two, medium-high risk sectors: real estate and precious gems/jewelry;
- A number of low risk sectors: banks, securities, and insurance companies etc.

Most Banks, FIs, Brokerage Industries and larger Exchange Companies (ECs) have an adequate understanding of their AML/CFT obligations and have conducted internal ML/TF risk assessments, which underpin a reasonable understanding of customer ML risk but not TF risk. These entities apply recordkeeping requirements and have risk-based CDD policies/procedures - a significant deficiency is their lack of effective identification of beneficial owners. Overall, they apply adequate Enhanced Due Diligence (EDD) measures and have AML/CFT internal controls. Banks, NBFCs and ECs report STRs. All other FIs have limited understanding of their ML/TF risks and are in a nascent stage of implementing risk-based CDD and internal controls. Most banks, large brokerage houses and ECs have a sound understanding of their obligations; have automated screening systems for all customers and transactions; and have frozen funds pursuant to UNSCR 1267 and UNSCR 1373.

Money Laundering Risks includes Operational risk and Legal Risks

6. OBJECTIVE, SCOPE AND APPLICABILITY

As the trading activities carried out at the exchanges by the brokerage houses are involved with certain risks while dealing with customers/accountholders for which a due care should be taken. In order to prevent Right Vision Securities (Pvt.) Limited (RVSPL) from being involved and used intentionally or unintentionally, by individual/entity for any suspected Money Laundering and/or Terrorist Financing activities and other illegal transactions, CDD/KYC policy and procedure has been formulated that will guide the company to recognise the customers and their business/economic dealings and thereon risk involved in a prudent manner.

Another supporting view to evolve CDD/KYC Policy is to help the Company and overall FIs in identification of theft, financial fraud and other cheating measures to misuse of fund financed by banking and non-banking sectors. This purpose is achieved through formulation of CDD/KYC Policy and procedure enabling the financial sector in general and stakeholders of Commodities and Capital Market like RVSPL in particular to know their customer through a proper identification process leading to manage suspected risks in a prudent manner in line with applicable Rules, Regulations and in adherence of the guidelines provided by SECP vide its various circulars/directives issued from time to time to protect the stakeholders of Capital and Commodities Market and its investors. SECP is the designated AML/CFT supervisor of Capital and Commodities markets including securities/commodities brokers, non-bank finance companies, insurance companies, and modarabas. As per regulatory and legal requirement stipulated in the SECP Circular no. 12 of 2009 dated April 28, 2009, RVSPL shall entail certain reliable and independent documents and/or information and thereon verification and authentication process shall be conducted with proper retention, updation and maintenance of record.

These Guidelines are based on Pakistan AML/CFT legislation and reflect, so far as applicable, the 40 Recommendations and guidance papers issued by the Financial Action Task Force ("FATF" established in 1989 by G-7 Summit in Paris, France). The Company is fully committed to meet the KYC requirements regarding documentation in accordance with the guidelines issued by SECP from

time to time in the context of FATF recommendations on AML measures and Combating Financing of Terrorism (CFT) and enhanced the KYC Standards in line with international benchmarks.

KYC Policy has been mainly framed for the following purposes:

- i. Preemptive measures from being used by criminal elements and for involvement of the Company intentionally or unintentionally, for money laundering and other illegal activities
- ii. Proper controls for detection of unusual trading activities and reporting of suspicious activities as per procedures
- iii. Update customer's data, knowledge and relevant information
- iv. Keep and maintain proper record of customer identifications
- v. Plan for capacity building of staff members as and when required
- vi. Collect sufficient information of clients
- vii. Compliance of applicable rules and regulation and guidelines by the regulator

The Policy is equally applicable to all customers, all types of products and services offered by the company whether existing or rolled-out in future and to all staff members involved directly or indirectly in the trading activities as promulgated in its Memorandum of Association of the Company.

7. STAGES OF KYC APPLICABILITY

- a) New Account opening for individuals, joint accounts and corporate entity
- b) Any change in risk profile of the customer
- c) Obtain additional information from the existing accountholders as and when required
- d) Any change in risk profile and/or change in credentials of customers vis-à-vis address, signatories, mandate holders/authorised person, successors and nominees etc.

8. POLICIES PROCEDURES AND CONTROLS

In compliance with **Clause 4 (a) of the SECP AML/CFT Regulations, 2018** it is imperative to;

- i. Develop and implement policies, procedures and controls with prior approval of BODs to manage and mitigate risk in an effective manner that are identified in the risk assessment of ML/TF or notified to it by the Commission;
- ii. monitor the implementation of those policies, procedures and controls and enhance them if necessary;
- iii. perform enhanced measures where higher risks are identified, to effectively manage and mitigate those higher risks; and
- iv. Have an independent audit function to test the system.
- v. The Policies, Procedures and Controls should contain a clear description for employees of their obligations and instructions as well as guidance on how to keep the activity of the reporting entity in compliance with the Regulations. There should be internal procedures for detecting, monitoring and reporting suspicious transactions.

a) appointment and role of compliance officer

In case, if in-house rotation of a senior employee as Compliance Officer (CO) could not be possible, then the Company shall consider hiring of CO who shall be responsible for monitoring and reporting of all transactions and sharing of information as required under the law. The CO must possess sufficient skills and experience to develop and maintain systems and controls including documented policies and procedures. It is necessary for the CO to remain vigilant over any change in legislation related to KYC/CDD/AML/CFT and access to all information necessary to perform the compliance functions. The CO is responsible to ensure regular audit of the KYC/CDD/AML/CFT Program and to maintain various logs vis-à-vis PEPs, information to SECP and other regulatory investigating agencies. The CO should respond promptly to requests for information by SECP, PMEX, NCCPL and other legislative bodies. The CO shall maintain close liaison with SECP, PMEX, NCCPL, law enforcement agencies and any other institution which are involved in the fight against money laundering and CFT.

b) mode of communication of policies and procedures

The CO shall in writing communicate duly approved policies and procedures to the heads of relevant departments of the company which shall be provided access to their respective subordinates for their understanding. The Compliance Officer is responsible to oversee the effectiveness of the Company's KYC/CDD/AML/CFT systems, compliance with applicable legislation and provide guidance in daily routine operations of the policies and procedures.

c) Updation in the policies and procedures

The CO should remain vigilant about any change in the KYC/CDD/AML/CFT legislation and with prior approval of the BODs, should update/change/amend the company's policies and procedures in a timely manner. Such amended policies and procedures should be communicated separately to the relevant employees. The reflection of such amendments should be appeared in risk profile accordingly.

d) Frequency of audit of compliance program

The management of the Company understands the importance of conducting an independent audit for evaluation of the effectiveness of compliance with KYC/CDD/AML/CFT policies and procedures. Ideally, it should be done on regular basis in order to take remedial measures on spot if any non-compliance is reported. However, a comprehensive audit activity preferably once a year should be done or as it may deem necessary by BODs. In this way, overall integrity and effectiveness of AML/CFT systems and controls, CDD/KYC measures, transaction monitoring, record keeping and retention, compliance with relevant rules and regulations, employees capacity building, compliance oversight and controls, process of identifying any change in the risk profiles of the customers and suspicious transactions including screening sanction lists, adequacy, accuracy and completeness of training programs are assessed.

9. ELEMENTS OF POLICY

The Company has contemplated to frame its policy in respect of CDD/KYC incorporating the following key elements:

1. Customer Acceptance Policy;
2. Customer Identification Procedures;
3. Customer Due Diligence (CDD)
4. Enhanced Due Diligence (EDD)
5. On-going monitoring
6. Risk Management
7. Preserve and maintain all necessary record
8. Sanction Compliance through useful links

9.1 Customer Acceptance Policy

The aim of the policy is to ensure that categorically guidelines are put in place on the aspects of; no opening of account in anonymous/benami or fictitious name, clarity on customer location, mode of transactions and payments, volume of T/O, social and financial status to enable categorization of customers as per parameters of risk perception. These parameters will be viewed periodically by the Compliance Office and senior level management.

The Company shall evolve clearly and accept strictly Customer Acceptance Policy and shall define risk assessment of customers as the aspects are reflected in the different sections of SAOF and other documents:

- a) Personal Data including identification of customer; entails identification number in accordance with identification type like CNIC, Driving License, Govt. Employed Card, Passport etc. Home address, contact number, occupation, home status etc.
- b) Business/employment Data; Business name, business address, employment status, address, contact detail and income detail etc.
- c) It should also be considered that in case of Government Employee (Federal/Provisional/Local/any Government Owned Enterprises), the personnel of the CO of the Company should ensure that no government account should be opened in the personal name of Government Officials unless NOC/Resolution from the respective department and endorsed by Ministry of Finance and /or Finance Office of the respective Department is presented.
- d) The Company shall put in place necessary checks before opening a new account so as to ensure that the identity of the customer does not match with any person with known criminal background or with banned entities such as individual terrorists or terrorist organizations, etc.
- e) Whereas risk categorization profile is concerned it would be prepared for each customer containing information relating to the customer's identity, social/financial status, nature of business activity, information about his clients' business and their location, etc. While preparing customer profile the care is to be taken to seek only such information which is relevant to the risk category. Any other information from the customer should be sought separately with his/her consent and after opening the trading account. The customer profile is a confidential document and details contained therein shall not be divulged for cross selling or any other purposes.

- f) For the purpose of risk categorization, individuals (other than High Net Worth) and entities whose identities and sources of wealth can be easily identified and transactions in whose accounts by and large conform to the known profile, are to be categorized as low risk. Illustrative examples of low risk customers could be transparent finances i.e., easily traceable income and clear sources of funds likewise salaried employees whose salary structures are well defined, people belonging to lower economic level of the society whose accounts show small balances and low turnover, Government departments & Government owned companies, regulators and statutory bodies, etc. Consistent transactions are other characteristics of low risk customer where regular, straightforward financial activities are carried out with no surprise. Because of low risk category, such customers don't need extensive monitoring standard KYC checks, regular viewed are typically enough. In such cases, only the basic requirements of verifying the identity and location of the customer are to be met.
- g) Customers that are likely to pose a higher than average risk may be categorized as high risk depending on customer's background, nature and location of activity, country of origin, sources of funds and the client profile. High-risk customers demand a higher level of vigilance due to complex financial activities and expected connection to regions with known financial crime concerns. Such customers are characterized by complicated transactions e.g., patterns of large, complex or frequent financial movements and risky jurisdictions e.g., link to countries with high rates of crimes or susceptible money laundering industries. In such cases robust KYC practices including thorough investigation, continuous monitoring and enhanced due diligence measures are required to be applied based on the risk assessment as per *Clause 9(3) of SECP (AML CFT) Regulations, 2018* thereby requiring intensive 'due diligence' for higher risk customers, especially those for whom the sources of funds are not clear. Examples of customers requiring enhanced due diligence may include
- o Non-resident customers
 - o High net worth individuals
 - o Trusts, charities, NGOs and organizations receiving donations
 - o Companies having close family shareholding or beneficial ownership
 - o Firms with 'sleeping partners
 - o Politically exposed persons (PEPs)
 - o Those with dubious reputation as per public information available, etc.

As regards the accounts of PEPs it is advised that in the event of an existing customer or the beneficial owner of an existing account subsequently becoming PEP, the Company would obtain senior management approval in such cases to continue the business relationship with such person.

- h) The CO of the Company shall make sure that no account shall be opened until satisfactory identification of customer is done and to apply appropriate customer due diligence measures vis-à-vis inability to verify the identity or any other information and documents are not obtained as per risk categorization policy of the Company.
- i) In case of Legal/Guardian circumstances, in which a customer is permitted to act on behalf of another person/entity, should be in conformity with the established law and practices, and the customer should be able to explain satisfactorily the reason/ occasion why an account is required to be operated by a mandate holder or where an account may be opened by an intermediary in a fiduciary capacity;

- j) The Company shall also avoid opening an account in case non-cooperation of customer and provision of unreliable documents/information/data.
- k) All necessary and relevant fields in Account Opening Form should be completed along with documents as per checklist provided thereof in all manners with valid authentic documents substantiating the identity of the customer.
- l) Customer Acceptance Policy requires all customers to fill in KYC Form to capture the relevant data for all categories of customers and provide supporting documents as a part of customer identification process / KYC.

Responsibility: The CO of the Company shall be responsible personnel to ensure filling of all relevant and necessary fields of Account Opening Form and the ancillary documents whereas the responsibility to review the completely filled Account Opening Form and the documentations rests with the CO of Account Opening Form.

Disclosure Note: The Company should take care while applying Customer Acceptance Policy that it shall not be so restraining which result in denial of trading facility to such diligent customers in respect to create trading and economic activities whereas they are willing to disclose all his information as per company's requirement and are unable to get open their account from another channel.

9.2 Customer Identification Procedures

Once necessary documentation is obtained then next crucial part of identification starts by undertaking client due diligence measures including identifying and verifying the customer and the beneficial owner by using reliable, independent source documents, data or information prior to establish business relationship in accordance with the type of account whether individual or corporate or joint etc. This identification process defends the company from being used by unscrupulous and / or criminal elements who operate the account under factious or anonymous (benami) title name. As provided in Account Opening Form, the Company shall obtain sufficient information depending on the type of customer (Individual, Corporate, Joint etc.) to its maximum satisfaction level observing due diligence on the profile of the customer in compliance with the existing applicable guidelines put in place.

The company may require minimum information/documents where it deems consider necessary depending on the account type. Apart from physical and In-Person Verification (IPV) of customer and ascertaining the identity of real controlling account party, the following documents depending upon nature of the business and financial status of the customer as provided in checklist of Account Opening Form shall be obtained prior to opening of account:

- a) Valid CNIC or receipt issued by NADRA, Passport copy, Driving License, Employee Card, Form-B issued by NADRA or any other document notified by Government sufficiently proofing identity of the customer.
- b) Valid Proof of Home and/or business address
- c) Documents in support of his income source whether income from business or as an employee as disclosed in Account Opening Form
- d) Document in support of his employment by an employer and /or business as per provision of Account Opening Form
- e) In addition to the above, the company may verify and authenticate information from Central Know Your Client Organization (CKO) maintained by NCCPL s.t. availability of data maintained with them.

- f) In case of foreigner account/non-resident/non-national, additional documents for identification purpose may be obtained as stipulated in Account Opening Form. This may include but not limited to passport (with visa & immigration endorsement) bearing the proof of identity and address in the home country together with a photograph and a letter offering substantiating the purpose of his stay in Pakistan, declaration about the local address, remittance proof etc.
- g) Individual Politically Exposed Persons (PEPs) entrusted with prominent public functions in a foreign country, e.g., Heads of States/ Governments, senior politicians, senior government/judicial/military officers, senior executives of state-owned corporations, important political party officials, etc. Apart from gathering sufficient information on any person/customer of this category, the Company shall verify the identity of the person and seek information about the sources of funds before accepting the PEP as a customer intending to establish a relationship and check all the information available on such person in the public domain.

If an existing customer exposes as PEPs then such accountholder shall be subject to CDD measures including enhanced monitoring on run-time basis.

- h) In case of joint account, each title holder shall go through from the same process in respect of identification and authentication process. Depending on the risk assessment of the account holder, the company may adopt simplified measures for proof of address and identity.

Where the customer is non-individual then certified copies of the following minimum documents shall be obtained:

- a) Certificate of registration/incorporation of the Company
- b) Memorandum and Articles of Association
- c) Proof of Head Office of the Company
- d) Financial Statement/annual report of the companies
- e) Auditors Report
- f) Resolution passed by Board of Directors (BODs) mentioning principal Officers and Management
- g) Power of Attorney granted to its managers, officers or employees to transact on its behalf along with valid document for proof of their identity and addresses.
- h) Partnership deed if partnership firm

In case of accounts operated by Power of Attorney (POA) Holders / Letter of Authority (LOA) Holders, KYC documents shall be obtained from such POA holders/ LOA holders and records shall be maintained/ updated in the system. A separate Check list and additional declaration have been provided in KYC Section of Account Opening Form.

9.3 Due Diligence of Customer:

It is imperative for the company to have a system of periodical updation of customer identification data (including photograph/s) and any change in address or contact detail. On-going monitoring is a critical part of the policy enabling implementation of KYC/CDD/AML Procedures in an effective manner. Based on the risk profile of a client, clients shall be asked to update his/her KYC documents periodically. Full KYC exercise will be required to be done as per low and high risk customers. It is the duty of Compliance Officer to exercise run-time due diligence of customers. The run-time due diligence may be based on risk matrix of the customer e.g., high risk customers should be subject to more tight and intensified monitoring as compare to other categories of risk

CDD/KYC POLICY AND PROCEDURES

accounts. It is the duty of the client to advise immediately any change of his registered address. In case a client is found not residing in his recorded address, he/she shall be asked to submit updated KYC documents along with current address proof at the earliest.

For undertaking CDD, the Company shall obtain a certified copy of CNIC (latest), NTN (if any), latest photograph from the customer while establishing an account-based relationship or while dealing with the individual who is a beneficial owner, authorised signatory or the power of attorney holder related to any legal entity; however, offline verification may be carried out if successful then such documents need not to be submitted. For opening an account in the name of a sole proprietary firm, CDD of the individual (proprietor) shall be carried out. The following documents (maximum available and applicable) as proof of business shall be obtained:

- Registration Certificate
- Sales and income tax returns
- Tax Certificate (GST/VAT)
- Utilities bills vis-à-vis electricity, telephone, water, gas etc.
- Certificate/registration document issued by Sales Tax/Professional Tax authorities.
- Certificate/License for Import Export issued to the proprietary concern by the office of DGFT or License/certificate issued in the name of the proprietary concern by any professional body incorporated under a statute.
- Complete Income Tax Return (not just the acknowledgement) in the name of the sole proprietor where the firm's income is reflected, duly authenticated/acknowledged by the Income Tax authorities.

In cases where the Company is satisfied that it is not possible to furnish two such documents, Company may, at its discretion, accept only one of above documents as proof of business/activity. Provided Company undertake contact point verification and collect such other information and clarification as would be required to establish the existence of such firm, and shall confirm and satisfy itself that the business activity has been verified from the address of the proprietary concern.

On confirmation of business activities up to satisfactory level, the Company may accept only one of the above documents to avoid customer get frustrated.

For undertaking CDD, the Company shall obtain the following from the customer while establishing an account-based relationship or while dealing with the individual who is a beneficial owner, authorised signatory or the power of attorney holder related to any legal entity:

- i. a certified copy of any valid document containing details of his identity and address
- ii. One recent photograph
- iii. NTN certificate (if any)

In case of PEP, the Company shall undertake additional compliance vis-à-vis sources of funds accounts of family members and other close relatives, identity of PEP, Opening of account of PEP subject to consent and approval from senior management, enhanced monitoring on an on-going, decision of continuation of business relationship in case of existing customer becomes PEP subject to approval of senior management. In case of inability to comply with CDD requirements, the company shall not open account, commence business relations.

9.4 Enhanced Due Diligence

The Company shall perform Enhanced Due Diligence of the Customer categorized under High Risk as per Risk Matrix as provided in *Clause 9 of SECP AML/CFT Regulations, 2018* which states that:

(1) Regulated person shall implement appropriate internal risk management systems, policies, procedures and controls to determine if any customer presents high risk of ML/TF.

(2) For the purposes of sub-regulation (1), circumstances where a customer presents high risk of ML/TF include but are not limited to the following-

- (a) customers/ policy holders belonging to countries which are non-compliant with anti-money laundering regulations according to FATF;*
- (b) such body corporate, partnerships, associations and legal arrangements including non-governmental organizations or not-for profit organizations which receive donations; and*
- (c) Legal persons or arrangements with complex ownership structures.*

(3) Regulated person shall perform appropriate enhanced due diligence (EDD) measures with customers that are identified as high risk by the regulated person or are notified as such by the Commission.

(4) 10. EDD measures include but are not limited to the following- (a) obtain approval from regulated person senior management to establish or continue business relations with such customers; (b) establish, by appropriate means, the sources of wealth and/or funds or beneficial ownership of funds, as appropriate; including regulated person's own assessment to this effect; and (c) conduct during the course of business relations, enhanced monitoring of business relations with the customer.

9.5 On-going Monitoring of transactions:

The Company shall monitor the transactions to comply with the Clause 13 of SECP AML/CFT Regulations, 2018. The policy of the Company shall encompass the following main points and shall be implemented accordingly:

- a) Monitoring of business relations with customers to ensure the consistency with the risk profile, sources of funds and the company's knowledge about the customers
- b) To probe the complex and unusual transaction in the context of its background and the purpose of such execution and document the findings to present the competitive authorities when required
- c) Periodically review of adequacy of information of customers and the beneficial owners to ensure the record is up-to-date particularly for high risk categories of customers
- d) To document the revision of customer's profile in view of KYC/CDD
- e) To apply proportionate risk mitigation measures and continued enhanced on-going monitoring on those customers who Suspicious Transaction Report (STR) has been reported by the Company suspecting the business relationship with a customer connected with ML/TF
- f) The Company shall not form business relationship with entities/individuals that are proscribed under
 - i. United Nations Security Council Resolutions (UNSCR) adopted by Government of Pakistan (GOP)
 - ii. Anti-Terrorism Act, 1997 (XXVII of 1997)

g) Freezing of funds blocking of accounts of proscribed entities/individuals

Run-time monitoring of transactions is an essential element of effective KYC procedures. The officials of Accounts Department and C.O. have to effectively control and reduce the risk by having an understanding of the normal and reasonable activity of the customer so that they have the means of identifying transactions that fall outside the regular pattern of activity in accordance with the risk sensitivity of each account. Officials should pay special attention to all complex, unusually large transactions and all unusual patterns which have no apparent economic or visible lawful purpose. Transactions that involve unusual trading activities backed by large amounts of cash inconsistent with the normal and expected activity of the customer should particularly attract the attention of the officials. Very high account turnover inconsistent with the means of the customer may indicate that funds are being 'washed' through/into the account. High-risk accounts have to be subjected to intensify monitoring.

The officials from Accounts Department and CO should closely observe the transactions to ensure that they are consistent with the customer's profile and source of funds as per extant instructions. In case of detection of suspicious transaction, the same shall be reported to CEO and/or CFO. The following types of transactions should be focused:

- **Unusual and complex Transactions:** As stipulated in Clause 14 (3) of AML/CFT Regulations, 2018 "Regulated person shall pay special attention to all complex and all unusual patterns of transactions, which have no apparent economic or visible lawful purpose. The background and purpose of such transaction shall, as far as possible, be examined, the findings established in writing, and be available to assist the relevant authorities in inspection and investigation."
- **Abnormal Pattern of Transactions:** Sub-Clause 4 of Clause 14 further explain that "the transactions, which are out of character, are consistent with the history, pattern, or normal operation of the account or are not commensurate with the level of income of a customer shall be viewed with suspicion, be properly investigated and referred to Compliance Officer for possible reporting to FMU under the AML Act." However, this reporting shall be with prior approval of the BODs through channel of PMEX/SECP.
- **Structuring the transactions;** frequently carrying out transactions in a series below threshold and/or near to minimum threshold in order to avoid to be reported as STRs should be investigated by the relevant personnel of Finance and Accounts Department.
- **Transactions which exceed the thresholds** prescribed for specific categories of accounts.
- **Transactions involving large turnover** inconsistent with the normal and expected activity of the customer.
- **High account turnover** inconsistent with the size of the balance maintained.

The Company shall review periodically the risk categorization of accounts and enhanced due diligence measure shall be exercised on high risk accounts. Such review shall be conducted biannually or as and when required.

Responsibilities: The C.O. or designated personnel from Accounts Department are required to remain vigilant over the transactions involving huge turnover/amounts which do not commensurate with the occupation and /or line of business of the account holder. In case of deduction of such doubtful transactions, necessary enquiries should be initiated. The findings of the report shall be reviewed by Compliance Officer in collaboration with CFO for subsequent reporting to MD/CEO/BODs for onward submission to the competent authority under intimation to PMEX and SECP.

Disclosure Note: The Company shall be stringent for accountability of the staff members who are found to violate the code of conduct in respect to maintain the standards of good conduct and behaviour expected of them and not to involve in any activity that would bring disrepute to the Company and not to advise potential customers on the lines that would be contravention of the legal process/ could facilitate money laundering/ could defeat the KYC norms or the norms of due diligence prescribed by the regulatory bodies from time to time.

9.6 Risk Management

Risk Management aims to ensure that an effective KYC Programme is put in place by establishing appropriate procedures and ensuring their effective implementation. Officials involved with day to day functioning and interaction with the clients including those at administrative offices supervising them need to have proper management oversight, systems and controls, segregation of duties, training and other related matters to ensure statutory compliance with the KYC program. Responsibility should be clearly allocated within the Company for ensuring that the policies and procedures are implemented effectively. Accordingly, the Company has detailed, through its Risk Management and Policy, the Underwriting criteria, that are enhanced due diligence and customer identification and acceptance procedure.

- i. **Risk Tolerance;** Risk tolerance is the amount of risk that the company is willing and able to accept and correlates its risk mitigation measures and controls accordingly. A risk tolerance impacts its decisions about risk mitigation measures and controls. For example, if the company determines that the risks associated with a particular type of customer exceed its risk tolerance, it may decide not to accept or maintain that particular type of customer(s). Conversely, if the risks associated with a particular type of customer are within the bounds of the company's risk tolerance, the company must ensure that the risk mitigation measures it applies are commensurate with the risks associated with that type of customer(s).

The Company's senior management and the BODs shall establish their risk tolerance, based on which the company shall have sufficient capacity and expertise to effectively manage the risk acceptable in line with their risk tolerance and the consequences such as legal, regulatory, financial and reputation, of AML/CFT compliance failure.

If the company decides to establish a high-risk tolerance and accept high risks then the company shall have mitigation measures and controls in place commensurate with those high risks.

- ii. **Risk Mitigation and Control Measures;** The Company shall have appropriate policies, procedures and controls that enable them to manage and mitigate effectively the inherent risks that they have identified, including the national risks. The company shall monitor the implementation of those controls and enhance them, if necessary. The policies, controls and procedures duly approved by senior management, and the measures taken to manage and mitigate the risks (whether higher or lower) should be consistent with legal and regulatory requirements.

The nature and extent of AML/CFT controls will depend on a number of aspects, which include:

- The nature, scale and complexity of the company's business
- Diversity, including geographical diversity of the company's operations
- The company's customer, product and activity profile
- Volume and size of transactions
- Extent of reliance or dealing through third parties or intermediaries.

Some of the risk mitigation measures that the company may consider include:

- determining the scope of the identification and verification requirements or ongoing monitoring based on the risks posed by particular customers;
- setting transaction limits for higher-risk customers or products; for individual customer, for corporate customer, for foreigner individual, for foreigner corporate
- requiring senior management approval for higher-risk transactions, including those involving PEPs;
- determining the circumstances under which they may refuse to take on or terminate/cease high risk customers/products or services;
- Determining the circumstances requiring senior management approval (e.g. high risk or large transactions, when establishing relationship with high risk customers such as PEPs).

iii. **Updation in Risk Assessment;** Once the identification procedures have been completed and the business relationship is established, the Company shall monitor the conduct of the relationship to ensure that it is consistent with the nature of business stated when the relationship/account was opened.

- The Company shall conduct on-going monitoring of their business relationship with its Customers which helps the Company to keep the due diligence information up-to-date, and review and adjust the risk profile of the customers, where necessary.
- The Company shall conduct on-going due diligence which include scrutinizing the transactions undertaken through the course of business relationship with a Customer.
- The Company shall update the Risk Assessment of their Customer on the occurrence of a triggering event or as defined e.g.,
 - For its High Risk Customers, their Risk Assessment shall continuously be reviewed and updated, but a comprehensive review should preferably be done quarterly or as and when required.
 - For its Medium Risk Customers, their Risk Assessment shall be updated biannually or as and when required.
 - For its Low Risk Customers, their Risk Assessment shall be updated annually or as and when required.
- the Company may update the Customer CDD record on triggering of following events:
 - Material changes to the customer risk profile or changes to the way that the account usually operates;
 - Where it comes to the attention of the company that it lacks sufficient or significant information on that particular customer;
 - Where a significant transaction takes place;
 - Where there is a significant change in customer documentation standards;
 - Significant changes in the business relationship.
- The Company update Risk Profiling of the Customer in the following circumstances:
 - New products or services being entered into;
 - A person has Just been designated as a PEP;
 - The nature, volume or size of transactions changes.
- The Company shall be vigilant for any significant or inconsistencies in the pattern of transactions. Inconsistency is measured against the stated original

CDD/KYC POLICY AND PROCEDURES

purpose of the accounts. Possible areas to monitor could be: transaction type; frequency; amount; geographical origin/destination; account signatories.

iv. Evaluating Residual Risk and Comparing with the Risk Tolerance

Subsequent to establishing the risk mitigation measures, RVSPPL should evaluate their residual risk, the risk remaining after taking into consideration the risk mitigation measures and controls. Residual risks should be in line with the company's overall risk tolerance.

Where the company finds that the level of residual risk exceeds its risk tolerance or that its risk mitigation measures do not adequately mitigate high-risks, the company should enhance the risk mitigation measures that are in place.

RVSPPL must have appropriate run-time risk management system for identifying and applying enhanced CDD to high-risk customers and their associates falling under category of PEPs and ultimate account beneficiaries. This would be made possible by performing a risk assessment of all existing and potential customers based on the information and documentations vis-à-vis their identity, home address, nature and source of income, expenses and contact detail etc.

- v. **Risk Matrix:** Following the above mention exercise, it would be easier to build a Risk Matrix for all types of customers as depicted in below tabular form and its affect on KYC approach:

Risk Level	Classification of Individuals/non-individuals' Customers	Due Diligence
High-Risk	PEPs and their associates, Non-resident, NGOs, Trusts, Charity, Companies with family as majority shareholders, Unscrupulous persons, High Net-worth individuals with higher turnover, Dealers in high value or precious and antique goods, Estate agents, real estate broker, Complex and opaque business structure, Non face-to-face customers who open account remotely, Cash intensive businesses, transactions favouring anonymity, customers from high-risk geographic areas, non-residents etc.	Enhanced (Every transaction), intense scrutiny
Medium-Risk (Normal Risk)	Routine identity verification, monitoring of transactions, and understanding the nature of the business relationship, Dealers and Commission agent, Wholesalers, Telecom service providers, Sole practitioners, Accountants, Notaries, Travel agency and telemarketers, Persons associated with Showbiz business.	Higher / Standard (Unusual transaction), Balanced monitoring
Low-Risk	State-owned enterprises, Government Department and its employees, Autonomous, statutory and regulatory bodies, Trust of Provident Funds, Pension Funds, Gratuity Funds, Mutual Funds and Portfolio Management Services regulated by the SECP, Private/Public Companies and its employees, Banking companies' employees, Public Limited Companies, Individuals holder of valid CNIC, private sector employees, Regulators and Statutory bodies, Higher Net worth entities, Higher credit rating entities, Low-value transactions, Customers from Low-risk geographic areas, Customers with stable and verifiable income source	Simplified (Yearly), Standard procedure

Requirements:

High-Risk Customers; this category pertains to scenarios where there is a significant risk exists. These might involve complex or opaque business structures, high-risk geographic locations, or dealings with politically exposed persons (PEPs). It is highlighted that the necessity for Enhanced Due Diligence (EDD) in these situations, requiring a more in-depth investigation to mitigate the identified risks adequately.

- In addition to proper identification and In-person verification, this category would be required to know about personal detail including valid proof of home address, customer's background and its associates, nature and location of activity, country of origin, understanding the source of funds and his/her client profile, senior management approval, enhanced on-going monitoring etc. Further recommended that it is worth to note that European Union AML Directive explicitly prohibits relationships with shell banks and requires measures to prevent engagement with institutions known to facilitate shell bank activities.
- **Medium-Risk Customers;** this category encompasses the standard level of risk that most business relationships or transactions present. Such category needs a bit more attention because of having more unpredictable financial behavior operating in industries that carry some risk but no inherent high-risk. Usually, they belong to the regions with weaker regulatory controls. Examples includes; Occasional unusual transactions (financial activity that occasionally deviates from the norm) and moderate industry risk. Periodic checks, more frequent monitoring and sometimes extra verification are carried out to ensure compliance. A Standard enhanced due diligence processes are employed here, ensuring a baseline level of scrutiny is maintained.

In addition to proper identification and In-person verification, it would be required to customer's background, nature and location of activity, country of origin, source of funds and his/her client profile, etc.

- **Low-Risk Customers;** (Simplified Customer Due Diligence (SCDD) measures are often applicable in these cases, allowing for a reduced level of scrutiny due to the diminished risk level)

This category of customers includes other than Individuals with High Net worth and entities whose identities and sources of income can be easily identified and transactions in whose accounts by and large conform to the known profile. For such customers, a simplified version of Due Diligence measures may be applied for the limited purpose of proof of address, the additional documents, Bank Account statement, letter from employers/letter or registry of accommodation or lease agreement if rented house of are deemed to be an officially verified document.

Responsibility: The CO shall prepare risk profile of each customer and shall exercise due diligence in accordance with risk level associated with each customer. In addition to this he/she shall monitor/follow-up process of review/classification/re-classification of Customer Risk Categorisation and its compliance during business lifecycle. He/she shall submit periodical reports on implementation/review of risk categorisation to manager for its review. Where the audit observation/remarks are communicated, the CO shall attend/follow-up to address the same and will report to CEO/BODs.

9.7 Preserve and Maintain All Necessary Record

Under the guidelines of SECP for CDD/KYC Policy communicated through Circular no. 12 of 2009 which cast certain obligations on the Financial and Non-Financial Sectors including FIs, Brokerage industries, Insurance and NBFCs with regard to maintenance, preservation and reporting of customer

CDD/KYC POLICY AND PROCEDURES

account information. RVSP shall take all steps considered necessary to ensure compliance with these requirements.

- a) **Record updation;** as CDD/KYC is not a one-time exercise to be conducted at the time of entering into a formal relationship with customer/account holder. This is an ongoing process and to this end, the Company shall follow the SECP guidelines which require monitoring the accounts and transactions on regular basis and updating customer information and record, if any, at reasonable interval as and when required. The Company shall make plan for suitable training to its relevant staff periodically. Moreover, the company shall have a system to preserve and maintain the record of customer identification either digitally or physically which include vis-à-vis but not limited to:
- i. Account Opening Forms along with auxiliary documents
 - ii. Ledgers, deposits and receipts of amount through bank account
 - iii. Orders and Contract Notes of all transactions executed at the trading platform in the respective account
 - iv. Information of individual transactions including nature, amount and date of transactions,
 - v. Change in customer details like change in address, contact detail, bank account etc.

b) **Record retention;**

The RVSP shall keep and maintain all records regarding the identification data obtained through the customer due diligence process (e.g., copies or records of official identification documents like passport, identity cards, driving licenses or similar documents), account files and business correspondence for at least ten years for STRs and CTRs whereas for record keeping of transactions of customers is for five years as per after reporting of transaction. With respect to record keeping, the related regulations are referred below:

Section 7 (4) of AML Act, 2010, "Every reporting entity shall keep and maintain all record related to 2[STRs] and CTRs filed by it for a period of at least 3[ten] years after reporting of [transaction]"

Section 7C Record keeping of AML Act, 2010. – "Every reporting entity shall maintain a record of all transactions for a period of at least five years following the completion of the transaction and records of account files, business correspondence, documents of all records obtained through CDD and the results of any analysis undertaken for a period of at least five years following the termination of the business relationship."

Clause 15. Record Keeping SECP AML/CFT Regulations, 2018.- (1) "Regulated person shall maintain all necessary records on transactions, both domestic and international, including the results of any analysis undertaken (e.g. inquiries to establish the background and purpose of complex, unusual large transactions) for a minimum period of five years from completion of the transaction:"

Clause 15(3) SECP AML/CFT Regulations, 2018:- "The records of identification data obtained through CDD process like copies of identification documents, account opening forms, Know Your Customer forms, verification documents and other documents along with records of account files and business correspondence shall be maintained for a minimum period of five years after termination of the business relationship."

CDD/KYC POLICY AND PROCEDURES

In order to adhere the relevant rule, RVSP shall take appropriate steps to evolve a system for proper maintenance and preservation of account information including identity of customer related documents and records in respect of all complex, unusual large transactions and all unusual patterns of transactions, which have no apparent economic or visible lawful purpose that could be easily and quickly retrieved as and when required or requested by the competent authority.

c) Record Keeping Procedures:

The company shall adopt record-keeping procedures as provided in SECP's Guidelines in Clause 15 of Record Keeping, Chapter-III of SECP AML and CFT Regulations, 2018 which mainly includes vis-à-vis;

- i. Preserve all information and documents in the context of CDD into the company's own IT system which should be maintained for at least five years after termination of business relationship with the customer
- ii. The company shall be able to extract data swiftly and easily for any individual transaction as and when required by competent authorities for prosecution of criminal activity.
- iii. Where there has been a report of a suspicious activity or the Regulated Person (RP) is aware of a continuing investigation or litigation into ML/TF relating to a customer or a transaction, records relating to the transaction or the customer should be retained until confirmation is received that the matter has been concluded.
- iv. The Company should also keep records of identification data obtained through the customer due diligence process, account files and business correspondence that would be useful to an investigation for a period of 5-years after the business relationship has ended. This includes records pertaining to enquiries about complex, unusual large transactions, and unusual patterns of transactions. Identification data and transaction records should be made available to relevant competent authorities upon request.
- v. Beneficial ownership information must be maintained for at least 5 years after the date on which the customer (a legal entity) is dissolved or otherwise ceases to exist, or five years after the date on which the customer ceases to be a customer of the company.
- vi. Records relating to verification of identity will generally comprise:
 - A description of the nature of all the evidence received relating to the identity of the verification subject; and
 - An evidence of itself or a copy of it in case if that is not readily available, information reasonably sufficient to obtain such a copy.
- vii. Records relating to transactions will generally comprise: i) details of personal identity, including the names and addresses, of: a) the customer; b) the beneficial owner of the account or product; and c) Any counter-party ii). details of securities and investments transacted including: a. the nature of such securities/investments; b. valuation(s) and price(s); c. memoranda of purchase and sale; d. source(s) and volume of funds and securities; e. destination(s) of funds and securities; f. memoranda of instruction(s) and authority(ies); g. book entries; h. custody of title documentation; i. the nature of the transaction; j. the date of the transaction; k. the form (e.g. cash, cheque) in which funds are offered and paid out.

Note: - the company shall keep records of transactions containing the minimum information vis-à-vis the nature and amount of the transactions, the date on which the transaction was conducted, the parties to the transaction.

Responsibility of Record: Compliance and Risk Management Department shall be responsible to maintain and preserve the customer's account detail information regarding identity data, account files and business correspondence whereas Accounts Department shall preserve and maintain transactions related record and thereon enquiries/investigation related data either physically or digitally or both.

9.8 Sanction Compliance through Useful Links

In order to adhere the real essence and practical implementation of policy on CDD/KYC/CFT, the company shall update itself by overseeing/visiting the following links regularly provided by different bodies and adopt the SECP's guidelines on this matter;

- **Consolidated UNSC Sanction List;**

<http://www.un.org/sc/suborg/en/sanctions/un-sc-consolidated-list>

- **Links Related to UNSC 1267**

- UNSC Al-Qaida / Da'esh Sanctions Committee
<http://www.mofa.gov.pk/contentsro1.php>
- UNSC Taliban Sanction Committee
<http://www.mofa.gov.pk/contentsro2.php>

- **Links Related to UNSC 1373**

- Proscribed Persons Under UNSC Resolution 1373
<https://nacta.gov.pk/proscribed-persons-2/>
- Proscribed Entities Under UNSC Resolution 1373
<https://nacta.gov.pk/proscribed-organizations/>

- **International Bodies**

<http://www.org/sc/committees/1267/consolist.shtml>
<http://www.fatf-gafi.org>
<http://www.egmontgroup.org>
<http://www.apgml.org>

10. SECP's Guidelines

The Company shall follow SECP's Guidelines in its true spirit on this issue which are very comprehensive and are reproduced hereunder:

- a) Sanctions are prohibitions and restrictions put in place with the aim of maintaining or restoring international peace and security. They generally target specific individuals or entities; or particular sectors, industries or interests. They may be aimed at certain people and targets in a particular country or territory, or some organization or element within them. There are also sanctions that target those persons and organizations involved in terrorism.

CDD/KYC POLICY AND PROCEDURES

The types of sanctions that may be imposed include:

- i. targeted sanctions focused on named persons or entities, generally freezing assets and prohibiting making any assets available to them, directly or indirectly;
 - ii. economic sanctions that prohibit doing business with, or making funds or economic resources available to, designated persons, businesses or other entities, directly or indirectly;
 - iii. currency or exchange control;
 - iv. arms embargoes, which would normally encompass all types of military and paramilitary equipment;
 - v. prohibiting investment, financial or technical assistance in general or for particular industry sectors or territories, including those related to military or paramilitary equipment or activity;
 - vi. import and export embargoes involving specific types of goods (e.g. oil products), or their movement using aircraft or vessels, including facilitating such trade by means of financial or technical assistance, brokering, providing insurance etc.; and
 - vii. Visa and travel bans.
- b) The Regulations require RPs not to form business relationship with the individuals/entities and their associates that are either, sanctioned under United Nations Security Council (UNSC) Resolutions adopted by Pakistan or proscribed under the Anti-Terrorism Act, 1997.
- c) The UNSC Sanctions Committee, maintains the consolidated list of individuals and entities subject to the sanctions covering assets freeze, travel ban and arms embargo set out in the UNSC Resolution 1267 (1999) and other subsequent resolutions, concerning ISIL (Da'esh)/ Al-Qaida and Taliban and their associated individuals.
- d) Government of Pakistan publishes Statutory Regulatory Orders (SROs) under the United Nations (Security Council) Act, 1948 in the official Gazettes to give effect to the decisions of the UNSC Sanctions Committee and implement UNSC sanction measures in Pakistan. The regularly updated consolidated lists is available at the UN sanctions committee's website, at following link;
www.un.org/sc/committees/1267/aq_sanctions_list.shtml
<https://www.un.org/sc/suborg/en/sanctions/1988/materials>
<https://www.un.org/sc/suborg/en/sanctions/1718/materials>
<http://www.un.org/en/sc/2231/list.shtml>
<https://www.un.org/sc/suborg/en/sanctions/1718/prohibited-items>
- e) The Ministry of Interior issues Notifications of proscribed individuals /entities pursuant to the Anti-Terrorism Act, 1997, to implement sanction measures under UNSCR 1373(2001), and the regularly updated consolidated list is available at the National Counter Terrorism Authority's website, at following link; <http://nacta.gov.pk/proscribed-organizations/>
- f) The company shall make their sanctions compliance program an integral part of their overall AML/CFT compliance program and accordingly should have policies, procedures, systems and controls in relation to sanctions compliance. The company shall provide adequate sanctions related training to their staff.
- g) When conducting risk assessments, the company shall, take into account any sanctions that may apply (to customers or countries).
- h) The company shall screen customers, beneficial owners, transactions, and other relevant parties to determine whether they are conducting or may conduct business involving any

sanctioned person or person associated with a sanctioned person/country. In the event of updates to the relevant sanctions lists, the company may discover that certain sanctions are applicable to one or more of their customers, existing or new.

- i) Where there is a true match or suspicion, the company shall take steps that are required to comply with the sanctions obligations including freeze without delay and without prior notice, the funds or other assets of designated persons and entities and reporting to the Commission, if they discover a relationship that contravenes the UNSCR sanction or a proscription.
- j) The obligations/ prohibitions regarding proscribed entities and persons mentioned in the above lists are applicable, on an ongoing basis, to proscribed/ designated entities and persons or to those who are known for their association with such entities and persons, whether under the proscribed/ designated name or with a different name. The company shall document and record all the actions that have been taken to comply with the sanctions regime, and the rationale for each such action.
- k) The company shall keep track record of all the applicable sanctions, and where the sanction lists are updated, shall ensure that existing customers are not listed.
- l) In case there is not 100% match but sufficient grounds of suspicion that customer/ funds belong to sanctioned entity/ individual, the company may consider raising an STR to FM

11. GENERAL

11.1 Training and educational programs;

The management is well-aware of the importance of capacity building of the employees and the Board, Committees members as well, hence, Company shall have an ongoing employee training programs so that the members of the staff are adequately trained in KYC/ CDD/AML/ CFT procedures. Training requirements shall have different focuses for front line staff, compliance staff and officer/ staff dealing with new Customers so that all those concerned fully understand the rationale behind the KYC/CDD Policies and implement them consistently. It is anticipated that all Employees in general and compliance related in particular are fully aware of its KYC/CDD, Anti-Money Laundering, CFT policies and procedures. The confirmation of such awareness with documentary acknowledgment must be ensured by the Compliance Officer.

Apart from training to its staff members, the Company shall also educate its investors about the CDD/KYC/CFT requirements through the staff members of Accounts Department, Compliance & Risk Management Department. However, training task may be outsourced from the relevant entity conducting the training programs. The Company shall plan holding of outreach program, financial literacy, awareness sessions, through website, on hand, printed materials like brochures, booklets etc.

In accordance with SECP's guidelines, RVSP shall ensure compliance with all of the requirements of the applicable AML/CFT legislation, regulations, systems, policies and that;

- i. All appropriate staff, receives knowledge/training on ML/TF prevention on a regular basis, ensure all staff fully understands the procedures and their importance,

CDD/KYC POLICY AND PROCEDURES

and ensure that they fully understand that they will be committing criminal offences if they contravene the provisions of the legislation.

- ii. Training to staff shall be provided as and when needed preferably at least annually or where there are changes to the applicable legal or regulatory requirements or where there are significant changes to the business operations or customer base.
- iii. Training shall be provided to the staff in the recognition and treatment of suspicious activities and on the result of risk assessments.
- iv. Staff shall be aware of their obligations and liabilities under the legislation in relation to reporting in accordance with internal procedures and are encouraged prompt reporting of any suspicious activities in an adequate manner.
- v. All new employees shall be trained on KYC/CDD/ML/TF know the legal requirement to report, and of their legal obligations in this regard.
- vi. RVSPML shall obtain an undertaking from their staff members (both new and existing) confirming that they have attended the training on KYC/CDD/AML/CFT matters, read the manuals, policies and procedures, and understand the KYC/CDD/AML/CFT obligations under the relevant legislation.
- vii. Compliance Department Staff members are the first point of contact with potential money launderers, and their efforts are vital to an organization's effectiveness in combating ML/TF. Staff responsible for opening new accounts or dealing with new customers shall be well-trained to verify the customer's identity, for new and existing customers and to detect suspicious customer's activities, and capable to take prompt action when a transaction is considered to be suspicious.
- viii. Staff involved in the processing of transactions shall receive relevant training in the verification procedures, and in the recognition of abnormal settlement, payment or delivery instructions. Staff is well-aware of the types of suspicious activities which may need reporting to the relevant authorities regardless of whether the transaction was completed in accordance with the procedures.
- ix. All staff is capable and vigilant in circumstances where a known, existing customer opens a new and different type of account, or makes a new investment e.g. a customer with a personal account opening a business account. Whilst the RVSPML may have previously obtained satisfactory identification evidence for the customer, the company shall take steps to learn as much as possible about the customer's new activities.
- x. It is compulsory that the Directors, Executives and Senior Managers understand the statutory duties placed upon them, their staff and are involved in approving KYC/CDD/AML/CFT policies and procedures despite the direct involvement in the handling ML/TF transactions. Supervisors, managers and senior management (including Board of Directors) shall be provided a higher level of training covering all aspects of KYC/CDD/AML/CFT procedures, including the offences and penalties arising from the relevant primary legislation for non-reporting or for assisting money launderers, and the requirements for verification of identity and retention of records.
- xi. The CO shall receive in-depth training on all aspects of the primary legislation, the Regulations, regulatory guidance and relevant internal policies. They also receive appropriate initial and ongoing training on the investigation, determination and reporting of suspicious activities, on the feedback arrangements and on new trends of criminal activity.

11.2 Internal Control System (Audit Function, Screening of Employees)

Internal Audit and Compliance functions will assess and ensure adherence to the KYC Policies and procedures. As a general rule, the compliance function will provide an independent evaluation of the Company's own policies and procedures, including legal and regulatory requirements. The Management of the Company under the supervision of the Board Compliance Committee shall ensure that the resources involved in audit function are adequately skilled and professional individuals. Internal Auditors will specifically check and verify the application of KYC procedures and comment on the lapses observed in this regard. The compliance in this regard shall be put up before the Board Compliance Committee along with their normal reporting frequency.

RVSPL shall designate a dedicated Compliance Officer for implementation of the guidelines and to meet other regulatory requirements for which system shall be developed to monitor the compliance functions in an effective manner. SECP's guidelines provide the detail as given hereunder:

a) Audit Functions;

The company will, on a regular basis, conduct an AML/CFT audit to independently evaluate the effectiveness of compliance with AML/CFT policies and procedures. The frequency of the audit should be commensurate with the company's nature, size, complexity, and risks identified during the risk assessments. The AML/CFT audits should be conducted to assess the AML/CFT systems which include:

- i. test the overall integrity and effectiveness of the AML/CFT systems and controls;
- ii. assess the adequacy of internal policies and procedures in addressing identified risks, including; (a) CDD measures; (b) Record keeping and retention; (c) Third party reliance; and (d) Transaction monitoring;
- iii. assess compliance with the relevant laws and regulations;
- iv. test transactions in all areas of the company, with emphasis on high-risk areas, products and services;
- v. assess employees' knowledge of the laws, regulations, guidance, and policies & procedures and their effectiveness in implementing policies and procedures;
- vi. assess the adequacy, accuracy and completeness of training programs;
- vii. assess the effectiveness of compliance oversight and quality control including parameters for automatic alerts (if any), and
- viii. Assess the adequacy of the company's process of identifying suspicious activity including screening sanctions lists.

b) Screening of employee;

RVSPL shall take care while providing an opportunity to work with the company to prevent any unscrupulous person for any type of dealing, to establish business relationship, hiring for any assignment (outsource) and on pay-roll employee. This will

enable the company to safe its reputation in the market and would helpful to maintain high standard of integrity in the Commodities and Capital Markets. An adequate screening mechanism is an integral part of the recruitment/ hiring process of personnel so as to ensure that person of criminal nature/ background do not get an access, to misuse the financial channel.

Employees screening should be conducted at the time of recruitment, periodically thereafter, i.e., at least annually and where a suspicion has arisen as to the conduct of the employee.

The company shall ensure that their employees are competent and proper for the discharge of the responsibilities allocated to them. While determining whether an employee is fit and proper, the company may:

- i. Verify the references provided by the prospective employee at the time of recruitment
- ii. Verify the employee's employment history, professional membership and qualifications
- iii. Verify details of any regulatory actions or actions taken by a professional body
- iv. Verify details of any criminal convictions; and
- v. Verify whether the employee has any connections with the sanctioned countries or parties.

11.3 Introduction of New Technologies

The Company shall pay special attention to any money laundering threats that may arise from new or developing technologies including online transactions that may favor anonymity, and take measures, if needed, to prevent their use in money laundering. Company shall ensure that any remittance of funds by way of demand draft, mail/telegraphic transfer or any other mode for any amount is affected by cheques and not against cash payment.

11.4 Closure of Accounts/Business Relationship

Where the Company is unable to apply appropriate KYC measures due to non-furnishing of information, unreliable documents/information and/or non-operation by the Customer, Company shall terminate Financing/Business Relationship after issuing due notice to the Customer explaining the reasons for taking such a decision. Such decision shall be taken with the approval of Managing Director/CEO or key managerial persons authorized for the purpose.

11.5 CFT

Freezing of accounts if suspected to involve in financing to terrorism and thereon sanctioned has been placed by different bodies at national and international level. In this connection, the

United Nations Security Council Resolutions (UNSCRs), received from Government of Pakistan, are circulated by the SECP to all BCs, NBFCs and FIs. RVSP shall take them into account for implementation of the same.

11.6 Consequences of breach/ default

The management shall take strict action in case of failure to comply with the obligations of maintenance of records, furnishing information and verifying the identity of the Customers.

The company is aware of the consequences in case the Company is found in contravention of any KYC guideline set out by SECP specifically, Given that the regulatory authorities seek to curb the offence of money-laundering wherein it involves any attempt, directly or indirectly, to indulge or knowingly assist or knowingly be a party or be actually involved in any process or activity connected with the proceeds of crime including its concealment, possession, acquisition or use and projecting or claiming it as untainted property, any such concealment or act of disguising the true origins of tainted proceeds so that the proceeds appear to have derived from legitimate origins or constitute legitimate assets, is punishable with rigorous action as per relevant rules and regulations.

In addition, failure to report suspected money laundering (including attempted transactions even if not completed by the Customer, irrespective of the amount of the transaction and/or threshold limit envisaged for predicate offences) may result in comparable fines and terms of imprisonment.

12. REVIEW AND AMENDMENTS IN THE POLICY

The Senior Management of the Company is well-aware the need to revitalize the Policy and Procedures to strengthen the internal control in the context of market conditions and/or any regulatory requirements. The Compliance and Risk Management (CRM) Department of the Company shall review the effectiveness, adequacy and relevance of this policy periodically. Any amendment and introduction of new Rule & Regulation promulgated by the competitive authority vis-à-vis SECP, PMEX, SBP etc., the CRM department shall review the policy and amend the same in conformity with the regulatory requirements. If necessity arises, the department may also review the policy from time to time to propose the changes in the procedures of the policy to the Senior Management for recommendation to the BODs for its endorsement and approval.

13. CONCLUSION

Since the event of 9/11 occurred and thereafter threat on global economy and threats on Pakistan in particular thereon, the risks posed on international relation with other countries in general and European countries and USA in particular, even relations with international donors' agencies are also at risk. With the use of technology, the global economy has become closely interconnected and thereon increases in cross-border financial transactions, transfer of resources and money in an illegal manner and money laundering by majority of countries which have been exposed to fuel the terrorism and illegal actions to achieve their targets and purposes.

It is the policy of RVSP to do the business in a transparent way to keep its business within its domain and the scope of regulatory requirements enabling to safeguard its integrity and reputation in the Commodities and Capital market. To achieve this, it is imperative to follow the guidelines, rules and regulations prescribed by the SECP and other regulatory bodies in its real essence and spirit in order to ensure the reputation, growth and required development growth of our capital market and the Country as well. RVSP shall continue to play its pivotal role in contributing the growth of economy and increasing the economic activities through its enhanced trading facility in multiple products and services across the country.

14. REGULATORY FRAMEWORK

14.1 Primary legislation

- SECP Act, 1997
- Companies Act, 2017
- Futures Market Act, 2016
- Anti-Money Laundering Act, 2020

14.2 Secondary legislation

- Futures Exchanges (Licensing and Operations) Regulations, 2017
- PMEX Rule Book
- Futures Brokers (Licensing and Operations) Regulations, 2018
- SECP (AML & CFT) Regulations, 2020
- Listed Companies (Code of Corporate Governance) Regulations, 2019
- Securities and Futures Advisers (Licensing and Operations) Regulations, 2017

Securities Act, 2015 and related regulations issued hereunder;

PSX Rule Book,

Anti-Money Laundering Act, 2010, and

SECP (Anti Money Laundering and Countering Financing of Terrorism) Regulations 2018.)

International best practices recommended from Financial Action Task Force (FATF) published in February 2012. <http://www.fatfgafi.org/media/fatf/documents/recommendations/pdfs/FATF>

Recommendations.pdf Guidelines on SECP (AML & CFT) Regulations, 2018 issued by SECP in September 2018.